MINISTRY OF FINANCE

(Department of Revenue)

(CENTRAL BOARD OF DIRECT TAXES)

NOTIFICATION

New Delhi, the 20th March, 2026

G.S.R. 198(E).—In exercise of powers conferred by section 533 of the Income-tax Act, 2025 (30 of 2025), the Central Board of Direct Taxes hereby makes the following rules, namely:–

1. Short title and commencement.–(1) These rules may be called the Income-tax Rules, 2026.
(2) They shall come into force on the 1st April, 2026.

2. Definitions.– (1) In these rules, unless the context otherwise requires,—
(a) "Act" means the Income-tax Act, 2025 (30 of 2025);
(b) "authorised bank" means any bank as may be appointed by the Reserve Bank of India as its agent under the provisions of sub-section (1) of section 45 of the Reserve Bank of India Act, 1934 (2 of 1934);
(c) “Form” means a Form in Appendix III appended to these rules;
(d) "section" means a section of the Act.
(2) Words and expressions used herein and not defined but defined in the Act shall have the meanings respectively assigned to them in the Act.

3. Arrangements for declaration and payment of dividends within India.–The arrangements referred to in section 2(42) to be made by a company for the declaration and payment of dividends (including dividends on preference shares) within India shall be as follows:

(a) the share-register of the company for all shareholders shall be regularly maintained at its principal place of business within India, in respect of any tax year from a date not later than the 1st April of such year;
(b) the general meeting for passing the accounts of the tax year and for declaring any dividends in respect thereof shall be held only at a place within India; and
(c) the dividends declared, if any, shall be payable only within India to all shareholders.

4. Conditions that a stock exchange is required to fulfil to be notified as a recognised stock exchange under section 2(92).– For the purposes of section 2(92), a stock exchange shall fulfil the following conditions in respect of trading in derivatives:-

(a) the stock exchange shall have the approval of the Securities and Exchange Board of India established under the Securities and Exchange Board of India Act, 1992 (15 of 1992) in respect of trading in derivatives and shall function in accordance with the guidelines or conditions laid down in this behalf by the Securities and Exchange Board of India;
(b) the stock exchange shall ensure that the particulars of the client (including unique client identity number and Permanent Account Number) are duly recorded and stored in its databases;
(c) the stock exchange shall maintain a complete audit trail of all transactions (in respect of cash and derivative market) for a period of seven tax years on its system;
(d) the stock exchange shall ensure that transactions (in respect of cash and derivative market) once registered in the system are not erased;
(e) the stock exchange shall ensure that the transactions (in respect of cash and derivative market) once registered in the system, are modified only in cases of genuine error; and
(f) the stock exchange shall maintain data regarding all transactions (in respect of cash and derivative market) registered in the system which have been modified and submit a monthly statement in Form No. 1 to the Director General of Income-tax (Systems), within fifteen days from the last day of each month to which such statement relates.

5. Procedure for notification of a recognised stock exchange for the purposes of section 2(92).– (1) An application for notification of a stock exchange as a recognised stock exchange for the purposes of section 2(92) may be made to the Member (Income Tax), Central Board of Direct Taxes, New Delhi.
(2) The application referred to in sub-rule (1) shall be accompanied with the following documents,:-

(a) approval granted by the Securities and Exchange Board of India for trading in derivatives;
(b) up-to-date rules, bye-laws and trading regulations of the stock exchange;